



CA INTER MAY 2026

AUDITING & ETHICS

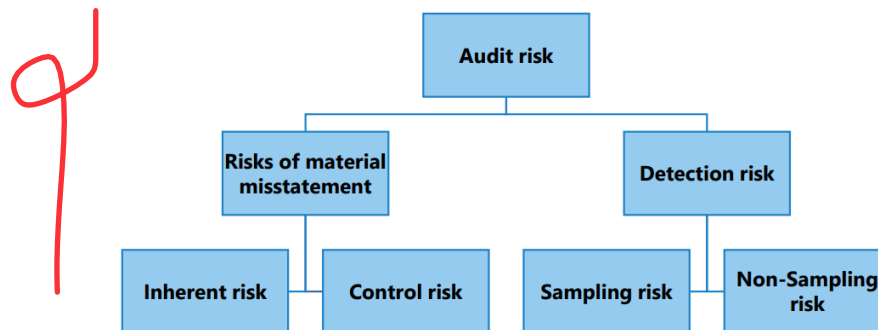
RISK ASSESSMENT & INTERNAL CONTROL

ONE SHOT



Chp 4: Risk Assessment & Internal Control (SA 315, 320, 330)

Audit Risk [Part of SA 200]



Audit Risk:	- Risk of expressing an inappropriate audit opinion on F.S. that are materially misstated - It needs to be considered at Overall Level & at Assertion Level. Component of Audit Risk: Audit Risk = Risk of material Misstatement (ROMM) X Detection Risk - It is brought about by error & fraud						
ROMM:  – Student Specific Code	Q1. "Risk of material misstatement consists of two components" Explain clearly defining risk of material misstatement. Or Discuss the levels at which this risk exists. Hint: Explain below "ROMM meaning" & "It's two components of ROMM" - An anticipated risk that a Material Misstatement may exist in F.S. before start of Audit. Components: ROMM = Inherent Risk X Control Risk. <table border="1"> <thead> <tr> <th colspan="2">2 level of ROMM</th> </tr> <tr> <th>At overall FS Level</th> <th>At assertion level (CADS)</th> </tr> </thead> <tbody> <tr> <td>ROMM at FS level whole means ROMM relates pervasively to the FS as a whole and potentially affect many assertions.</td> <td>ROMM at assertion level assessed to determine NTE of FAP to obtain SAAE</td> </tr> </tbody> </table>	2 level of ROMM		At overall FS Level	At assertion level (CADS)	ROMM at FS level whole means ROMM relates pervasively to the FS as a whole and potentially affect many assertions .	ROMM at assertion level assessed to determine NTE of FAP to obtain SAAE
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TWO COMPONENTS OF ROMM: Inherent risk and control risk are the entity's risks; they <u>exist independently of the audit of the FS.</u>							
Inherent Risk (IR) DEFINE: Susceptibility of an assertion about C/A/DS to misstatement that could be material individually or aggregated with other misstatements assuming that there are no related controls. - Inherent risk is addressed at both the F.S. level & at the assertion level. - It's higher for complex calculation. - Auditor to consider IR when designing TOC or Substantive procedure to design its extent. Example: External circumstance also affect IR, Technological developments might make a particular product obsolete, thereby causing inventory to be	Control Risk (CR) DEFINE: Risk that a misstatement that could occur in an assertion about a C/A/DS → entity's internal control system will not prevent, or detect and correct on a timely basis Misstatement that could be material individually or when aggregated with other misstatement - Hence INVERSE RELATIONSHIP between CONTROL RISK & CONTROL EFFICIENCY - IC can only reduce ROMM, but not eliminate because of inherent limitation of IC Example: The possibility of human errors or mistakes, or of controls being circumvented by collusion. Accordingly, some control risk will always exist.						



more susceptible to overstatement

- b) large number of business failures in an industry (Such industry have I.R.)
- c) An accounting standard provides guidance on some complex issue which might not be understood by the management.

- a) A company has devised control that cash should be kept in a locked safe and access to authorized personnel only. There is risk that control is not being followed.
- b) An entity has devised a control that fire extinguishers and smoke detectors to reduce the risk of damage to inventories caused by fire. risk that fire extinguishers in place are expired and are not being refilled. smoke detectors not working.
- c) A company has devised a control relating to petty cash that items of expenditure of only less than ` 10000 should be routed through imprest system of petty cash. There is a risk that control is not being followed.

Detection Risk:

- Risk that procedure performed by auditor will not detect a misstatement at exists in an assertion that could be material either individually or when aggregated with other Mismnt

Detection risk comprises:

<u>Sampling risk</u>	<u>Non-sampling risk</u>
is the risk that the auditor's <u>conclusion based on a sample</u> may be different from the conclusion <u>if the entire population</u> were subjected to the same audit procedure. means that the sample was not representative of the population from which it was chosen.	risk that the auditor reaches an <u>erroneous conclusion for any reason not related to sampling risk</u> . Like an auditor may reach an erroneous conclusion due to application to some inappropriate audit procedure.

Examples:

- Sizeable WIP inventories are expected in FS of a company → auditor rely upon alternative audit procedures instead of attending inventory count.
- The auditor of a company has audited revenue of a company by taking a sample. However, there is a risk that sample of revenue is not representative of overall revenue.

Detection risk may be reduced by increasing area of checking, testing larger samples and by including competent and experienced persons in the engagement team

There is INVERSE Relationship Between ROMM & Acceptable level of Detection Risk

ROMM	Acceptable Detection Risk
High	Need to be Low
Low	Can Be High

Q2. ROMM consists of two components Explain clearly defining risk of material misstatement

Hint: Refer Definition of ROMM, Inherent Risk & Control Risk

Q3. Identify 2 components of audit risk which can't be controlled by Auditor & 1 component can be controlled by him (give 2 example of that component) [MTP'25]

Hint: auditor can only influence detection risk. → Inherent R. and control R. controlled by Entity [Now explain "Examples of Detection Risk"]

Q4. auditors have planned audit procedures i.r.o recognition of revenues. Despite that, there is a possibility that misstatements in revenue are not identified by audit procedures. explain that particular risk. (RTP'24)

Hint: Such a risk is referred to as "detection risk".

Refer above "Detection risk", it's "definition" & "Detection risk comprise of"

Q5. Auditor is planning RAP to identify & assess ROMM. How auditor should assess risk? Further assessment of risks is a matter of professional judgment. Explain stating what is not included in Audit Risk? (SM & MTP'24)

Professional Judgment: Assessment of risks is based on audit procedures to obtain information necessary for that purpose and evidence obtained throughout audit → **It's matter of professional judgment**, rather than a matter capable of precise measurement.
exercised by an auditor whose training, knowledge and experience have assisted in developing the necessary competencies to achieve reasonable judgments.

A.Risk Not Include:

- Auditor might express opinion that **FS are MMS when they are not**. This risk insignificant.
- Audit risk is a technical term for auditing process → **not refer to the auditor's business risks** such as loss from litigation, adverse publicity, or other events arising with the audit of FS.

Q6. SAs don't ordinarily refer to inherent risk & control R separately, but rather combined assessment of ROMM.

Combined Assessment of ROMM

- SAs do not ordinarily refer to inherent risk and control risk separately, but rather to a **combined assessment** of the "**ROMM**"
- However it **depends upon the auditor** if he want to do **combined or separate** based on preferred audit techniques or methodologies
- ROMM assessment can be express in **Quantitative terms** (eg, %), or **Non-Quantitative**
- Risk of Material Misstatement= Inherent Risk x Control Risk

Q7. ICAI Example. XYZ Ltd is engaged running several stores dealing in variety of items such as ready made garments for all seasons, shoes, gift items, watches etc. There are security tags on each and every item. Moreover, inventory records are physically verified on monthly basis. Discuss types of inherent, control & detection risks.

Hint:

- Inherent R → items may have been misappropriated by employees, So, risk that inventory records would be inaccurate.
- Control Risk → There is a security tag on each item, Verified monthly. Despite various controls being implemented at the stores, still collusion among employees → risk to auditor would again be that inventory records would be inaccurate
- Detection Risk → Auditor checks the efficiency and effectiveness of various control systems in place. He would do that by making observation, inspection, enquiry, etc., sampling techniques to check few sales transactions. However, despite all these procedures, the auditor may **not detect the items which have been stolen or misappropriated**.

Q8. SM Example: There was a risk that auditor would give an inappropriate audit opinion if the FS are MMS. State Risk

Answer: It's Audit Risk → auditor of company will give an inappropriate audit opinion if FS of that company are MMS

Q9. W Ltd is a "start-up" of paddy burning issue. Due to importance given by Govt. to this issue, Many of these companies have not been successful & have gone bust, spot the component of ROMM involved in above?

Hint: It shows that line of activity is inherently risky. The component of ROMM involved is "inherent risk."

Q10. A company has devised a control that its inventory of perishable goods is stored in appropriate conditions- to prevent any damages to inventory. Responsibility is fixed on two persons to monitor environment.

Hint: There is a possibility that persons given responsibility do not perform their work and report deviations. The component of risks of material misstatement is "control risk"

Q11. Shree Foods Ltd is engaged in manufacturing of garlic bread. The auditors of company have planned audit procedures i.r.o recognition of revenues of the company. Despite that, there is a possibility that misstatements in revenue recognition are not identified by planned audit procedures. Which risk?

Hint: There is a possibility that planned audit procedures may not achieve desired result and fail to detect misstatements in revenue recognition. The risk alluded to it is "detection risk".

Q12. List out reason for Abnormal increase in Gross margin Ratio? and should we keep detection risk high if ROMM is high? (MTP'24 → Full Qn in Qn Bank)

Hint: (1) Overvaluation of Inventory (2) Overstatement of Revenue (3) Understatement of Direct expenses
 → SA 200: No, Detection risk needs to be kept low, if ROMM is high.

➤ Misstatement & It's Examples [Jan'26]

Meaning:	Misstatement refers to a difference between the: • amount, classification, presentation, or disclosure (ACPD) of a reported FS item and • amount, classification, presentation, or disclosure that is required for the item to be in accordance with the applicable financial reporting framework. Misstatements can arise from error or fraud.
Examples: <i>P&L Points</i> <i>B/s Current Assets</i> <i>FS Disclosure</i>	• Charging of an item of capital expenditure to revenue or vice-versa • Intentional booking of fake expenses in statement of profit and loss • Overstating of receivables in financial statements by not writing off irrecoverable debts • Overstating or understating inventories • Difference in disclosure of a FS item vis-à-vis its requirement in applicable FRF • Selection or application of inappropriate accounting policies • Difference in accounting estimate of a financial statement item vis-à-vis its appropriateness in applicable financial reporting framework

Q13. Company recognized "**Other Income**" → Dividend = Rs. 1.8 Lacs (net of TDS, TDS = Rs. 0.20 lakhs), Bank Interest = 2.7 Lacs (net of TDS, TDS = Rs. 0.30 lakhs), credited in bank. & net gain on sale of share 5 lacs. And **No other disclosure** in F.S. Whether it consist **Misstatement**? Also, **examples of Misstatement**. (MTP24)

Hint: Mention above misstatement, "Meaning" & "Examples" → In given case, The company should have recorded **gross amount** of dividend and interest amounting to ₹ 2.00 lakhs and ₹ 3.00 lakhs respectively in its financial statements in accordance with **AS 13**. So, **Other Income** amount should be **10 Lacs** (2+3+5).

Further, S-III Companies Act 2013, Disclosure requires for "Other Income"

- Interest Income of ₹ 3 lakhs
- Dividend Income of ₹ 2 lakhs
- Net gain on sale of investments of ₹ 5 lakhs

SA 315 – Identifying & Assessing risk of Material Misstatement by Understanding entity & its environment:

Auditor's Objective:	• Identify and assess the ROMM, whether due to fraud or error, at the ✓ FS Level & ✓ Assertion levels, • Through understanding the entity & its environment, including the entity's IC • Providing a basis for "designing" and "implementing" responses to assessed ROMM. • This will help the auditor to reduce the ROMM to an acceptably low level.
Business Risk:	A risk resulting from significant conditions, events, circumstances, actions, or inactions that could adversely affect an entity's ability to achieve its objectives.
Significant Risk:	An identified and assessed ROMM that requires special audit consideration .
Define Risk Assessment Procedures (RAP)	The audit procedures performed to obtain an understanding of the entity and its environment, including the entity's I.C. , to identify and assess the ROMM , whether due to fraud or error, at the FS & assertion levels.

RAP - Identifying & Assessing ROMM:

Auditor Shall Assess ROMM at:	a) The financial statement level b) The assertion level for classes of transactions, account balances, and disclosures to provide a basis for designing and performing further audit procedures (SA 330)				
To Identify & Assess ROMM, Auditor Shall: [Process of RAP]	a) Identify risks throughout the process of obtaining an understanding of the entity and its environment and by considering the C/A/DS in the FS; b) Assess the identified risks, whether they relate more pervasively to the financial statements as a whole and potentially affect many assertions; c) Relate the identified risks to what can go wrong at the assertion level d) Consider the likelihood of misstatement, and whether the potential misstatement is of a magnitude that could result in a material misstatement.				
RAP evidence are not SAAE:	• Information obtained by RAP can be used as Audit evidence, Auditor may also perform TOC or substantive procedure along with RAP to inc. efficiency, However RAP evidence are themselves not SAAE to form an opinion.				
RAP Includes: [Refer Additional PDF also] Trick: AIO	Q14. Discuss how "analytical procedures" performed as "RAP" can be useful to auditor. [Hint: Refer below 1st to 3rd points & "Analytical Procedure"] What is included in risk assessment procedures? 1) Inquiries of mngt. and of others within the entity who in the auditor's judgment may have info. that is likely to assist in identifying ROMM due to fraud or error. 2) Analytical procedures. 3) Observation and inspection. <table><tr><td>Inquiries of mngt & of others in entity:</td><td>Auditor may obtain information, or a different perspective in identifying risks of material misstatement, through inquiries of others within the entity and other employees with different levels of authority. (Examples of Inquiries are Given Later in Questions)</td></tr><tr><td>Analytical Procedure:</td><td>Analytical procedures performed as RAP may identify aspects of the entity of which the auditor was unaware and may assist in assessing the ROMM, may include both financial and non-financial information [E.g., relationship between sales and square footage of selling space or volume of goods sold.], to identify existence of unusual transactions or events, and amounts, ratios, and trends → Unusual or unexpected relationships. Analytical procedure may be helpful to auditors: • It helps in identifying the existence of unusual transactions or events, and amounts, ratios, and trends that might indicate matters that have audit implications. • Unusual or unexpected relationships that are identified may assist auditor in identifying ROMM, especially risks of MMS due to fraud. • Analytical procedure as RAP provides only Initial indication about whether MMS exist: However, when such analytical procedures use data aggregated at a high level (which may be the situation with analytical procedures performed as RAP) → the results of those analytical procedures only provide a broad initial indication about whether an MMS may exist. • Hence Along with result of analytical procedure → Consider other information also that has been gathered when identifying the ROMM </td></tr></table>	Inquiries of mngt & of others in entity:	Auditor may obtain information, or a different perspective in identifying risks of material misstatement, through inquiries of others within the entity and other employees with different levels of authority. (Examples of Inquiries are Given Later in Questions)	Analytical Procedure:	Analytical procedures performed as RAP may identify aspects of the entity of which the auditor was unaware and may assist in assessing the ROMM, may include both financial and non-financial information [E.g., relationship between sales and square footage of selling space or volume of goods sold.], to identify existence of unusual transactions or events, and amounts, ratios, and trends → Unusual or unexpected relationships. Analytical procedure may be helpful to auditors: • It helps in identifying the existence of unusual transactions or events, and amounts, ratios, and trends that might indicate matters that have audit implications. • Unusual or unexpected relationships that are identified may assist auditor in identifying ROMM, especially risks of MMS due to fraud. • Analytical procedure as RAP provides only Initial indication about whether MMS exist: However, when such analytical procedures use data aggregated at a high level (which may be the situation with analytical procedures performed as RAP) → the results of those analytical procedures only provide a broad initial indication about whether an MMS may exist. • Hence Along with result of analytical procedure → Consider other information also that has been gathered when identifying the ROMM
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Barcode – Student Specific Code



		together <u>it will assist the auditor in understanding and evaluating the results of the analytical procedures.</u>
	Observation & Inspection:	Observation and inspection may support inquiries of mngt and others, and may also provide information about the entity and its environment. Examples: • The entity's operations. • Documents (i.e. business plans & strategies), records, IC manuals. • Reports prepared by Mngt (such as Qtr mngt reports and interim FS) and TCWG (such as minutes of board of director's meetings) • The entity's premises and plant facilities.

Documenting Risk:

The auditor shall document:

[Trick: Team "Discuss" karegi aapas me "Understanding" lene k liye > fir understanding milne k baad > "Risk dhundhege" & "Risk Mil gyii"]

Q15. Auditor of XYZ Ltd was of view that **risks that were identified** during **audit** were **not** required to be **documented**. Explain with reason whether Mr. N is Correct ? [Old]

Answer:

Mr. N is not justified because risks that were identified during the course of audit of Reasonably XYZ Limited were required to be documented by the auditors.

- The **discussion** among the engagement team and the significant decisions reached;
- Key **elements of the understanding obtained** regarding each of the aspects of the entity and its environment and of each of the internal control components, the sources of information from which the understanding was obtained; and the RAP performed;
- The **identified and assessed ROMM** at the FS level and at the assertion level ; and
- risks identified, & related controls** about which auditor has obtained an understanding

Q16. steps to be taken by the auditor for the purpose of Identifying and assessing ROMM as per SA 315 ?, Or Q. Auditor want to **reduce ROMM to acceptable low level**, how auditor can **satisfy objective of identifying & assessing ROMM** (sept'25)

Hint: Refer Above: "Auditor Shall Assess ROMM at" & "Process of RAP"

Q17. Auditor **compared Current Yr data with last 2 yr** → to **evaluate the ROMM** as per SA 315. Identify Type of Procedure, it's relevance & whether auditor can rely solely on such procedure ? (MTP'25)

Hint: Refer above "Analytical Procedure" & "it will be helpful to auditor" (only 1st & 2nd point)

RAP are basis for identification & assessment of ROMM → but **not provide SAAE** → auditor opinion can't solely based on such procedure

Q18. May 2024: RAP (Risk Assessment Procedure) shall include the Inquiries of management and of others within the entity who in the auditor's judgment may have information that is likely to assist in identifying ROMM due to fraud or error. Explain giving at least three examples → What kind of information can the auditor get by inquiring from TCWG, Internal audit personnel, employees etc.

Q. Much of the info obtained by the auditor's inquiries is obtained from mngt. → However, the auditor may also obtain info, in identifying ROMM, through inquiries of others & employees with different levels of authority [MTP25]

Examples of Inquiry from mngt & others within entity:

Answer: (Trick: Hierarchy: "TCWG" → "Employees (Marketing / IT / Legal)" → inski bhi audit karni padegi, Kon karega ? → "Internal Auditor" & "Risk mngt dept")

Inquiry From:	Provide Info About:
TCWG	environment in which the financial statements are prepared
Internal audit personnel	internal audit procedures performed during the year & Effectiveness of IC , whether mngt respond finding
Employees	involved in initiating, processing or recording complex or unusual transactions help the auditor to evaluate the appropriateness of selecting / applying Accounting policy
In-house legal counsel	litigation, compliance with laws and regulations , knowledge of fraud or suspected fraud



Marketing/ sales person	changes in the entity's marketing strategies, sales trends, or contractual arrangements with its customers
Risk mngt	Operational and regulatory risks that affect financial reporting
information system person	system changes, system or control failures, or other information system- related risks

Q19. Jo Jo Limited is planning to list on BSE next year. As an auditor of Jo Jo Limited, identify any one reason of increased audit risk due to listing of the company next year.

Answer: Jo Jo Limited is planning to list on BSE next year. There is a greater chance of misstatements in FS due to planned listing next year. There could be a possibility of intentional manipulation of FS. So, there is increased audit risk i.e., risk of expressing inappropriate opinion by the auditor when FS are materially misstated.

Q20. it is observed by the auditor that current ratio has improved from 1.20:1 (in preceding year) to 1.75:1 (in current year). Identify what kind of risk assessment procedures are being performed by auditor? Has it any relation with listing of company next Yr ?

Hint: auditor is using "analytical procedures" as RAP. Current ratio has improved from previous year. There could be a possibility of misstatement in current assets & current liabilities. It is possible that improvement is artificial due to misstatements and has been done to secure good response to the proposed issue of company next year.

➤ Understanding the Entity

Need of Understanding & Understanding is Continuous process: Trick: kam se kam "M"ain "AREAS" ki understanding to lelo..... Professional Judgement Useful in following Areas:	Q21. Auditor of ABC Textiles Ltd chalks out an audit plan without understanding business. Since he has done many audits of textile companies, there is no need to understand nature of business Q. "Obtaining an understanding of the entity including the entity's I.C. is a continuous, dynamic process of gathering, updating and analysing info throughout the audit. Analyse & explain giving examples.", auditor plans the audit and exercises professional judgment throughout the audit Or, Q. While auditing the books of Heavy Material Ltd, a team member of the auditor of Heavy Material Ltd showed no inclination towards understanding the business. Is the approach of team member is correct or incorrect? Also give reason for your answer. The approach of team member of the auditor incorrect because understanding the business and the business environment of company whose audit is to be conducted is very important, as it helps in planning the audit and identifying areas requiring special attention during audit. Continuous Process: Understanding entity is continuous, dynamic process of gathering, updating, analysing info. throughout audit. The understanding establishes a frame of reference within which the auditor plans the audit and exercises professional judgment throughout the audit, for example, when: - Determining Materiality in accordance with SA 320; - Considering the Appropriateness of the selection and application of Accounting policies; - Assessing Risks of material misstatement of the financial statements; - Evaluating the sufficiency and appropriateness of audit evidence obtained, such as the appropriateness of assumptions and of management's oral and written representations - Developing expectations for use when performing Analytical procedures; - Identifying areas where Special audit consideration
Understanding of Following:	Q22. In performing an audit of FS, the auditor should have or obtain knowledge of the business. Explain in the light of SA 315 Identifying and Assessing the ROMM through Understanding the Entity. Or, Q. Without adequate knowledge of client's business, a proper audit is not possible. Explain knowledge to be obtained by auditor in establishing overall plan. Also explain how such understanding helpful to auditor. Q. Knowledge of Client business is one of the important principles in developing an overall audit plan. Or, Q. Blanket Business. Its major portion of sales is taking place through internet. Advise the auditor how he



	would proceed in this regard as to understanding the entity and its environment While understanding entity and its environment, internet sales is being perceived as risky area by the auditor and thereby would be spending substantial time and extensive audit procedures on this particular area. The auditor shall obtain an understanding of the following: [IRE - FANO] Relevant Industry, Regulatory, Economic (IRE) and other external factors including the applicable financial reporting framework. - The measurement and review of the entity's Financial performance. - The entity's selection and application of Accounting policies. - The Nature of the entity, including: - its <u>operations</u>; - its <u>ownership</u> and governance structures; - the <u>types of investments</u> that the entity is making and plans to make, including investments in special-purpose entities; and - the <u>way that the entity is structured and how it is financed</u>; to enable the auditor to understand the C/A/DS to be expected in the FS. - Entity's Objectives & strategies, & those related business risks that may result in ROMM.
Obtain Understanding of relevant Industry, Regulatory and other External factors (IRE) <i>(Not trick ... v v easy .. Qn se hi answer)</i>	Q23. SA 315 → auditor shall obtain an understanding of the <u>relevant industry, regulatory and other external factors</u> including the <u>applicable FRF</u>. <u>Explain giving examples.</u> (MTP'25) Relevant industry factors include industry conditions such as the competitive environment, supplier and customer relationships, and technological developments, ✓ Auditor may consider include market and competition, whether entity is engaged in seasonal activities, product technology relating to the entity's products. The industry in which the entity operates may give rise to specific ROMM arising from the nature of the business or regulation. Relevant regulatory factors include the regulatory environment, the applicable FRF and the legal and political environment. ✓ Examples of matters the auditor may consider include accounting principles and industry specific practices, regulatory framework for a regulated industry, L&R that significantly affect the entity's operations, including direct supervisory activities, taxation, government policies currently affecting the conduct of the entity's business, environmental requirements affecting the industry and the entity's business. - Examples of other external factors affecting the entity that the auditor may consider include the general economic conditions, interest rates and availability of financing, and inflation etc.

➤ INTERNAL CONTROL SYSTEM:

Define:	Process Designed, Implemented and Maintained by TCWG, management and other personnel to provide reasonable assurance about the achievement of an entity's objectives with regard to reliability of financial reporting, effectiveness and efficiency of operations, safeguarding of assets, and compliance with applicable laws and regulations (FALO).
Scope / Purpose of IC: [FALO]	- Facilitates effectiveness & efficiency of Operations. - Helps to ensure reliability of internal & external Financial reporting. - Assists compliance with Laws & regulations. - Helps safeguarding the Assets of the entity. The way in which internal control is designed, implemented, and maintained varies with an



	entity's size and complexity.				
Objective of IC & IC-FR: <i>(Trick: IC samajne se muje pata pad jaaega ki kha kha "Misstatement" & "Material MM" hai ... uss hisaab se "Audit procedure" laga lunga)</i>	Q24. I.C. over safeguarding of assets against unauthorised acquisition, use, may include controls w.r.t to both financial reporting & operations objectives. Explain stating objectives of IC. Answer: IC over safeguarding of assets against unauthorised acquisition, use, or disposition may include controls relating to both financial reporting and operations objectives. Auditor's consideration of such controls is generally limited to those relevant to the reliability of financial reporting. For example, use of access controls (i.e. passwords) → that limit access to the data that process cash disbursements may be relevant to a FS audit. Conversely, safeguarding controls relating to operations objectives, such as controls to prevent the excessive use of materials in production, generally are not relevant to a FS audit. <table border="1"> <tr> <td>Transactions</td><td> 1. Transactions are executed through general or specific Mngt. Authorization 2. All transactions are promptly recorded in the correct amount in the appropriate accounts and in the accounting period. </td></tr> <tr> <td>Assets</td><td> 3. Assets are safeguarded from unauthorized access or use or disposition 4. Recorded assets are compared with the existing assets at reasonable intervals and appropriate action is taken with regard to any differences </td></tr> </table>	Transactions	1. Transactions are executed through general or specific Mngt. Authorization 2. All transactions are promptly recorded in the correct amount in the appropriate accounts and in the accounting period.	Assets	3. Assets are safeguarded from unauthorized access or use or disposition 4. Recorded assets are compared with the existing assets at reasonable intervals and appropriate action is taken with regard to any differences
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Benefit of Understanding IC: <i>Control me "Human Error" & "Judgement" ho sakti hai, jese "PRS" likh diya (PQRS ki jgh)</i> + <i>Collusion</i>	Q25. While planning an audit, the auditor does not think that it would be necessary to understand internal controls. Advise the auditor in this regard. ➤ Not All Controls are Relevant for Audit: The auditor shall obtain an understanding of IC relevant to the audit. Although most controls relevant to the audit are likely to relate to financial reporting, not all controls that relate to financial reporting are relevant to the audit. It is a matter of the auditor's professional judgment whether a control, individually or in combination with others, is relevant to the audit ➤ An understanding of internal control assists the auditor in: - identifying types of potential misstatements - identifying factors that affect the ROMM, and - designing the NTE of Further Audit Procedure Q26. The team member of the auditor of Simple Ltd was of the view that understanding the I.C of the company would not help them in any manner i.r.t audit procedures to be apply. Hint: The view of the team member of the auditor is incorrect because understanding the internal control of the company would help the auditor and his team members in designing the nature, timing and extent of audit procedures to be applied while conducting the audit.				
Inherent Limitations: <i>Control me "Human Error" & "Judgement" ho sakti hai, jese "PRS" likh diya (PQRS ki jgh)</i> + <i>Collusion</i>	Q27. Briefly discuss the limitations of Internal Control Human judgment in decision-making: It can be faulty and can be Error. Judgements by Management: in designing and implementing controls, management may make judgments, nature and extent of the risks it chooses to assume. Lack of understanding the Purpose: Individual responsible for reviewing the information does not understand its purpose or fails to take appropriate action. Reasonable assurance: Internal control can provide only reasonable assurance, not absolute assurance about achieving the entity's operational, financial reporting Objective Limitations in case of Small Entities: Smaller entities often have fewer employees due to which segregation of duties is not practicable. However, small owner-managed entity, the owner-manager may be able to exercise more effective oversight than in a larger entity,				



	But, owner-manager may be more able to override • Collusion among People: controls can be circumvented by the collusion of two or more people or inappropriate management override of internal control.
Understanding Relevant controls:	• Evaluating the design of a control, capable of effectively preventing, or detecting and correcting, MMS • Obtaining an understanding of an entity's controls is not sufficient to test their operating effectiveness, unless there is some automation that provides for the consistent operation of the controls (Example, Manual control may not provide evidence that it worked throughout the audit, but IT system have consistency, we can test it's operating efficiency)
[RAP for Controls:] (Trick: Rhythm pakdo ...tone)	Q28. Discuss what is included in risk assessment procedures to obtain audit evidence about the design and implementation of relevant controls. [RAP Includes] [OLD] • Inquiring of entity personnel • Inspecting documents and reports. • Observing the application of specific controls. • Tracing transactions through the information system relevant to financial reporting. [Inquiry alone, however, is not sufficient for such purposes] ➤ Whether All Controls Are Relevant? Factors relevant to the auditor's judgment, may include such matters as the following: Q29. whether the auditor should assess all the I.C. or limit the assessment to only those considered relevant by the auditor during the audit. Also, discuss the factors influencing the auditor's judgment on the relevance of controls (SM & MTP'25) Trick: "CC" hai kya "Me Risk Nii Lera, me to saare Control check karunga chaae relevant ho yaa niiii... There is a direct relationship between an entity's objectives and the control it implements to provide reasonable assurance about their achievement. Factors relevant to the auditor's judgment about whether a control, individually or in combination with others, is relevant to the audit may include such matters as the following: • Materiality. • Significance of related Risk • Nature of entity's business, including organisation and ownership • Legal and regulatory requirements. • The nature and Complexity of the systems that are part of the entity's internal control, including the use of service organisations Control: • Component applicable of internal <u>control</u> • Whether, and how, a specific control, individually or in combination with others, prevents, or detects and corrects, material misstatement. • Diversity and complexity of the entity's operations • Size of the entity Hence, auditors should assess only those controls deemed relevant to mitigate the ROMM in FS.
5 Components of Internal Control [MICRA]: (i) Monitoring (ii) Info & Communication (iii) Control Environment (iv) Risk Assessment (v) Control Activities	
Control Environment:	Q30. Advise what is included in control environment. & explain elements of control environment.



[IPC SHAP]

What Auditor Shall Evaluate:

The auditor shall obtain an understanding of the control environment. As part of obtaining this understanding, the auditor shall evaluate whether:

- (i) Management has created and maintained a **culture of honesty and ethical behavior**;
- (ii) The **strengths in the control environment** elements collectively provide an appropriate foundation for the other components of internal control.

What is included in Control Environment? (Trick: "GAT")

- (i) the **Governance and management** functions and
- (ii) the **Attitudes, awareness, and actions** of TCWG and management.
- (iii) The control environment **sets the Tone of an organization**, influencing the control consciousness of its people.

Elements of the Control Environment:

- (a) **Communication & enforcement of Integrity & ethical values:** The effectiveness of controls cannot rise above the integrity and ethical values of the people who create, administer, and monitor them.
Integrity and ethical behaviour are the product of the entity's ethical and behavioural standards, **how they are communicated**, and **how they are reinforced** in practice. The enforcement of integrity and ethical values includes, for example, management actions to eliminate or mitigate incentives or temptations that might prompt personnel to engage in dishonest, illegal, or unethical acts. The communication of entity policies on integrity and ethical values may include the communication of behavioural standards to personnel through policy statements and codes of conduct and by example.
- (b) **Participation by those charged with governance:** Attributes of TCWG such as, Their **independence** from management, Their **experience** and stature, The **extent of their involvement** and the information they receive Scrutiny of activities.
- (c) **Commitment to competence:** Consideration of the competence levels for particular jobs and how those levels translate into requisite **skills and knowledge.**
- (d) **Organisational Structure:** The framework within which an entity's activities for achieving its objectives are planned, executed, controlled, and reviewed..
- (e) **Human resource policies & practices:** Policies and practices that relate to, for example, recruitment orientation, training, evaluation counselling, promotion, compensation, and remedial actions
- (f) **Assignment of Authority & responsibility:** Matters such as how authority and responsibility for **operating activities** are assigned and **how reporting relationships** and **authorisation hierarchies** are established.
- (g) **Management's Philosophy & operating style:** Characteristics such as management's:
 - **Approach** to taking and **managing business risks.**
 - **Attitudes** and actions toward **financial reporting**, approach in developing accounting estimate.
 - **Attitudes** toward **information processing** and accounting functions and personnel

**Risk
Assessment
Process:**

Q31. Auditor is trying to obtain understanding of different components of I.C of company. **how he shall obtain understanding of the risk assessment process** of company and **how is this understanding important** for the auditor? (MTP'24)

Answer: CA E shall obtain an understanding of whether the entity has a process for: -

- **Identifying business risks** relevant to financial reporting objectives



	• Estimating the significance of the risks; • Assessing the likelihood of their occurrence; and • Deciding about actions to address those risks. Entity's RAP forms the basis for risks to be managed. If that process is appropriate, it would assist the auditor in identifying ROMM. Risks can arise or change due to factor such as new technology, new business models, products or activities, changes in operating environment etc. Whether the entity's RAP is appropriate to the circumstances is a matter of judgment
Information & Communication	Q32. The auditor shall obtain an understanding of the information system, including the related business processes, relevant to financial reporting, including the classes of transactions, JV control. Answer: → Info. system which includes the FR system, encompasses methods & records that: [Trick: Transaction → JV → GL → FS] • How the information system captures events and conditions that are significant to FS • The classes of transactions in the entity's operations that are significant to the FS • Controls surrounding journal entries. • The procedures by which those transactions are initiated, recorded, processed, corrected as necessary, transferred to the general ledger and reported in the FS; • The related accounting records, supporting information and specific accounts in the financial statements that are used to initiate, record, process and report transactions; • The financial reporting process used to prepare the entity's financial statements.
Control Activities: <i>(Trick: Review karo Information & Physical asset me SOD hai n)</i>	Control activities are the policies and procedures that help ensure that management directives are carried out. (Whether within IT or manual systems), Example of Control activities: 1. Performance reviews: Reviews & analyses of actual performance Vs. budgets, forecasts etc. 2. Information processing: <u>Application controls</u>, which apply to the processing of individual applications, and <u>general IT-controls</u>, which are policies and procedures that relate to many applications 3. Physical controls: (i) Physical security of <u>Assets</u>, (ii) <u>Periodic count</u> & comparison with Control A/c, (iii) Authorization for access to <u>computer program/files</u>. 4. Segregation of duties 5. Authorization
Monitoring: Kya hota h? Kab hota h? Kese karte h? Kya karte h?	Q33. The auditor shall obtain an understanding of the major activities that the entity uses to monitor internal control over financial reporting Explain Answer: The auditor shall obtain an understanding of the major activities that the entity uses to monitor internal control over financial reporting. Auditor shall obtain an understanding of major activities that the entity uses to monitor ICFR. (i) DEFINATION of Monitoring of controls: Monitoring of controls is a process to assess the effectiveness of internal control performance over time. (ii) Assessing effectiveness of controls on a timely basis: It involves assessing the effectiveness of controls on a timely basis and taking remedial actions. It includes considering whether controls are operating as intended and that they are modified as appropriate for change in conditions. (i) Management accomplishes through ongoing activities, separate evaluations etc.: Management accomplishes monitoring of controls through ongoing activities, separate evaluations, or a combination of the two. Ongoing monitoring activities are often built into the normal recurring activities of an entity (ii) Management's monitoring activities include: Mngt's monitoring activities may include using information from communications from external parties such as customer complaints and



- regulator comments that may indicate problems or **highlight areas in need of improvement**.
 (iii) **In case of Small Entities**: Mngt. monitoring of control is often accomplished by managements or the **owner-manager's close involvement in operations**.

Q34. auditor of a company is **going through company policies and practices regarding employee recruitment, training, orientation**. She seems interested in finding out **whether company hires best candidates**. Identify what she is **trying to do?** How gaining this knowledge useful to her as an auditor?

Answer: The study of company policies and practices regarding employee recruitment, training, etc. is a part of **understanding HR function** of the company. It, in turn, helps in **understanding control environment** of the company. By **gaining such a knowledge, she can better understand internal control of the company**.

Q35. During the audit, CA Smriti is keen to find out **whether there exists a proper system of segregation of duties in the company**. i.e., person responsible for recording a transaction is different from the person authorising it. Discuss **what she is trying to do** and how its understanding is significant to her.

Hint: She is gaining an understanding of I.C of the company. In particular, she is **understanding "control activities"**. It helps in **gaining insight into the I.C system of company**.

Q36. Which component of I.C. he is trying to understand → **Whether controls in LMN Ltd. are operating as intended** and they are modified as appropriate for change in conditions

Hint: It's "**Monitoring of controls**" → **Refer above notes MONITORING ... Point 1 & 2 only**

➤ **About Significant Risk:**

Significant Risk: [Risk that require Special Audit Consideration]	Q37. As part of the risk assessment, the auditor shall determine whether any of the risks identified are, in the auditor's judgment, a significant risk. state the factors . Answer: A 315 "Identifying & Assessing the ROMM through understanding the Entity & Environment" Define: 'Significant risk' as an identified and assessed ROMM that, in the auditor's judgment, requires special audit consideration. In exercising judgment as to which risks are significant risks, the auditor shall consider at least the following: (a) Whether the risk is a risk of fraud. (b) Whether the risk is related to recent significant economic, accounting, or other developments like changes in regulatory environment, etc., requires specific attention; (c) The complexity of transactions; (d) Whether the risk involves significant transactions with related parties; (e) Whether the risk involves significant transactions that are outside the normal course of business for the entity, or that otherwise appear to be unusual. (f) The degree of subjectivity in the measurement of financial information related to the risk, especially those measurements involving a wide range of measurement uncertainty
It's' Inherent Risk:	Significant risks are inherent risks with both are higher: likelihood of occurrence and a higher magnitude of potential misstatement. The following are always significant risks: a) ROMM due to fraud b) Significant transactions with related parties that are outside the normal course of business.
Significant Risk often Relates to: (1) Significant non-routine transactions (2) Significant judgmental matters	
ROMM greater for Significant Non- Routine	Q38. What is understood by "non-routine" transactions? Briefly outline why risks of material misstatement is greater for such transactions. Answer: → Transactions arising from matters such as the following: [Trick: "mngt" baar baar "Complex" calculation bhi "manually" kar rha h.. koi automated "control" ni h kya ..



transaction:	<i>bahot "high risk" hoga idhar to]</i> • Greater management intervention to specify the accounting treatment. • Complex calculations or accounting principles. • Greater manual intervention for data collection and processing. • The nature of non-routine transactions, which may make it difficult for the entity to implement effective controls over the risks.
ROMM greater for Significant Judgmental matters:	That require development of accounting estimates, arising from matters such as the following: • Accounting principles for accounting estimates or revenue recognition may be subject to differing interpretation. • Required judgment may be subjective or complex, or require assumptions about the effects of future events, for example, judgment about fair value

Q39. Explain: existence of satisfactory control environment can be positive factor when auditor assess ROMM., Or Q. existence of satisfactory control environment can be considered as an absolute deterrent to fraud ? [Jan'25]

Answer:

Satisfactory Control Environment - not an absolute deterrent to fraud: The existence of a satisfactory control environment can be a positive factor when the auditor assesses the ROMM.

- However, although it may help reduce the risk of fraud, a satisfactory control environment is not an absolute deterrent to fraud.
- Conversely, deficiencies in the control environment may undermine the effectiveness of controls, in particular in relation to fraud. For example, management's failure to commit sufficient resources to address IT security risks may adversely affect internal control by allowing improper changes to be made to computer programs or to data, or unauthorized transactions to be processed.
- As explained in SA 330, the control environment also influences the NTE of the auditor's FAP.
- The control environment in itself does not prevent, or detect and correct, a MMS. It may, however, influence the auditor's evaluation of the effectiveness of other controls (for example, the monitoring of controls and the operation of specific control activities) and thereby, the auditor's assessment of the ROMM.

➤ Evaluation of Internal Control by the Auditor:

Benefit:	Q40. Explain stating clearly the benefits of evaluation of internal control to auditor [RTP'26] Answer: The auditor needs reasonable assurance that the accounting system is adequate and that all the accounting information which should be recorded has in fact been recorded. The auditor should gain an understanding of the accounting system and related internal controls.
Trick: A ⁴ R ² IS ² E ²	a) Whether an Adequate internal control system is in use and operating as planned by Mngt b) what are the Areas where control is weak and where it is excessive; c) what would be appropriate Audit technique and the audit procedure in given circumstances d) whether any Administrative control has a bearing on his work (for example, if the control over worker recruitment and enrolment is weak, there is a likelihood of dummy names being included in the wages sheet and this is relevant for the auditor); e) How far and how adequately the management is discharging its function in so far as correct Recording of transactions is concerned; f) how Reliable the reports, records and the certificates to the management can be; g) whether an effective Internal auditing department is operating; h) whether the controls adequately Safeguard the assets;



- i) whether some worthwhile **Suggestions** can be given to improve the control system.
- j) whether **Errors and frauds** are likely to be located in ordinary course of business;
- k) the **Extent & depth of the examination** that he needs to carry out in diff. A/cing areas

Q41. Mr. Y, one of the team member of auditors of What & Where Ltd was very keen in **knowing whether the IC of the company would safeguard the company's assets**. Advise Mr. Y.

Hint: Refer above Answer [The review of internal controls will enable the auditors to know whether controls adequately safeguard the assets.]

Q42. Mr. H, a team member of the auditor of T&H Ltd was of the view that evaluation of IC of the company would help in identifying the areas where internal control is weak. Advise

Hint: Refer Above answer [The review of internal controls will enable the auditor to know what are the areas where control is weak and where it is excessive]

Audit Program:

Q43. Auditor can **formulate his entire audit programme only after he has had a satisfactory understanding of I.C systems** and their actual operation. Analyse & explain. [OLD]

Answer:

- The auditor can **formulate his entire audit programme only after** he has had a satisfactory **understanding of the internal control systems**.
- If he does not care to study this aspect, it is very likely that his audit programme may **become unwieldy and unnecessarily heavy** and the object of the audit may be altogether lost in the mass of entries and vouchers.
- It is also important for him to know **whether the system is actually in operation**.
- It would be **better if the auditor can undertake the review of the ICS** of client. He will also be in a position to bring to the notice of the management the weaknesses of the system and to suggest measures for improvement.
- A proper understanding of the internal control system in its content and working also **enables an auditor to decide upon the appropriate audit procedure to be applied** in different areas.
- In a situation where the **internal controls are considered weak in some areas**, the auditor might **choose an auditing procedure or test that otherwise might not be required**; he might extend certain tests to cover a large number of transactions or other items than he otherwise would examine and at times he may perform additional tests.
- **if he is satisfied with the internal control on sales and trade receivables**, the auditor **can get trade receivables' balances confirmed at almost any time** reasonably close to the balance sheet date. **But if the control is weak**, he may feel that he should **get the confirmation exactly on the date of the year closing** so that he may eliminate the risk of errors and frauds

METHODS of Evaluation of Internal Control:

Flow chart:

Q44. A Flow Chart is a graphic presentation of each part of the company's system of internal control. Explain elaborating each and every aspect about flow chart.

Answer:

- It is a **graphic presentation** of each part of the company's system of internal control.
- A flow chart is considered to be most **concise way of recording** the auditor's review of system.
- It **minimises the amount of narrative explanation** and thereby achieves a consideration or presentation not possible in any other form.
- It gives **bird's eye view of the system** and the flow of transactions and integration and in documentation, can be easily spotted and improvements can be suggested.
- It is also necessary for the auditor to **study the significant features of the business** carried on by the concern; the **nature of its activities and various channels of goods and materials** as well as **cash, both inward and outward**; and also a comprehensive study of the entire process of

Student Specific Code



	manufacturing, trading and administration. This will help him to understand and evaluate the internal controls in the correct perspective.
Internal Control Questionnaire (ICQ)	Q45. to evaluate the I.C. of Y&M Ltd, a team member of the auditors used a method according to which, number of questions relating to I.C of the company were required to be answered by the employees of the company. State the method of evaluation of I.C Answer: The method of evaluation of internal control used in the above question is known as Internal Control Questionnaire because in questionnaire method, • This is a comprehensive series of questions concerning internal control. This is the most widely used form for collecting information about the existence, operation and efficiency of internal control in an organisation. • An important advantage of the questionnaire approach is that oversight or omission of significant internal control review procedures is less likely to occur with this method. • With a proper questionnaire, all IC evaluation can be completed at one time or in sections. • The review can more easily be made on an interim basis. The questionnaire form also provides an orderly means of disclosing control defects. It is the general practice to review the internal control system annually and record the review in detail. • <u>In the questionnaire, generally questions are so framed that a</u> ➢ "Yes" answer denotes satisfactory position and a ➢ "No" answer suggests weakness. [explanation or further details of 'No' answers] ➢ "Not Applicable": i.r.t. questions not relevant to the business, • The questionnaire is usually issued to the client and the client is requested to get it filled by the concerned executives and employees. • If on a perusal of the answers, inconsistencies or apparent incongruities are noticed, the matter is further discussed by auditor's staff with the client's employees for a clear picture. The concerned auditor then prepares a report of deficiencies and recommendations for improvement. Note: The Internal Control questionnaire is usually issued to the client and the client is requested to get it filled by the concerned executives and employees by giving replies as Yes/No/Not applicable along with explanatory notes, if any.
Narrative Record:	Q46. H&U Ltd → For the purpose of evaluating the IC, Auditor of the company used a method according to which the whole description of IC that was operating in the said company was to be recorded. Identify the method of evaluation of I.C. Answer: Above method of IC evaluation is known as Narrative Record because, → This is a complete & exhaustive description of system as found in operation by the auditor. Actual testing & observation are necessary before such a record can be developed. It may be recommended in cases where no formal control system is in operation → more suited to small business. The basic disadvantages of narrative records are: 1) To comprehend the system in operation is quite difficult. 2) To identify weaknesses or gaps in the system. 3) To incorporate changes arising on account of reshuffling of manpower, etc.
Check List:	• Series of instructions and/or questions which a member of the auditing staff must follow and/or answer. • When he completes instruction, he initials the space against the instruction. • Answers to the check list instructions are usually Yes, No or Not Applicable. • This is again an on the job requirement and instructions are framed having regard to the desirable elements of control. Example:

- 1) Are tenders called before placing orders?
- 2) Are the purchases made on the basis of a written order?
- 3) Is the purchase order form standardised?
- 4) Are purchase order forms pre-numbered?

Illustration of → Internal Control Questionnaire in Different Areas

Purchase	Creditors	Inventories	Fixed Assets
- Are Purchase orders based on valid Pur Req. - PO are pre-numbered - PO signed by employees authorized competitive quotation from 2 or more supplier? Material received? materials inspected & counted? - Receipt of material ..GRN	- Are suppliers' invoices <u>routed</u> direct to the A/c's Department? - i.r.o R.M → Reco. Made of Qty/ Values as shown in Invoice with stock records. - Match Invoice with GRN & PO advance payments duly authorized. supplier's statements compared with ledger duplicate invoices marked immediately	- Are stocks insured comprehensively against different risks adequacy of insurance cover - record maintained for the insurance policies? - Is the record reviewed periodically? stock records periodically reconciled with A/cing records ? - Are perpetual stock records kept	- Are Budget for CAPEX approved - authority to incur CAPEX restricted to specified officials. amounts expended do not exceed the amount authorized - Fixed assets verified periodically ? - reports indicate damaged/obsolete items of fixed assets?

Q47. Zomba Products is a small company. How auditor, would proceed to evaluate I.C of the company?

Answer: In a small company, control systems are basic and not formalized. → evaluate IC using **narrative record**.

Q48. Auditor finds that cash is not deposited into bank frequently although concerned staff of company was required to do so. Discuss what does it represent from auditor's perspective.

Hint: It means that **control is not working as planned**. It would not be able to prevent misstatement and very purpose of control is defeated. It represents a "**control deficiency**".

Q49. evaluating I.C of Creditors → Prepare set of questions regarding controls operating for creditors [MTP'25]

Hint: refer above "Illustration of → Internal Control Questionnaire in Different Areas" → "**CREDITORS**"

WHAT IS AN AUTOMATED ENVIRONMENT?

Meaning:	An automated environment basically refers to a business environment where the processes, operations, accounting and even decisions are carried out by using computer systems - also known as Information Systems (IS) or Information Technology (IT) systems.
Key Features:	Trick: "Humans" ko "latest information" ka pata hota hai nii ... baaki proper "Integration" & "Connectivity" ho n ... to "Large" se large data bhi "faster" & "accurately" process kar sakte ho... a) Less prone to human errors b) Provides latest information. c) Integration amongst business operations d) Connectivity and networking capability e) Ability to process large volume of transactions. f) Enables faster business operation. g) Accuracy in data processing and computation h) Better security and controls



	If a company uses an integrated enterprise resource planning (ERP) viz., SAP, Oracle etc., then it is considered more complex to audit. On the other hand, if a company is using an off-the-shelf accounting software, then it is likely to be less automated and hence less complex environment.						
Understanding & documenting automated environment:	Q: Auditor, explain how you would understand and evaluate company's automated environment for planning and performing the audit Effectively [Jan'26] Auditor required to understand the entity & its business, including IT. It involves understanding how IT department is organised, IT activities, IT dependencies, relevant risks & controls. Points that an auditor should consider obtaining an understanding of the company's automated environment: Trick: Konsa System h ? Kyu hai ? kaha hai ? kesa hai ? a) Information systems being used (one or more application systems and what they are) b) Their purpose (financial and non-financial) c) Location of IT systems - local vs global d) Architecture (desktop based, client-server, web application, cloud based) e) Version (functions and risks could vary in different versions of same application). f) Interfaces within systems (in case multiple systems exist). g) In-house vs Packaged. h) Outsourced activities (IT maintenance and support). i) Key persons (CIO, CISO, Administrators). The understanding of a company's IT environment that is obtained should be Documented.						
Risk arising from use of IT system:	Q50. IT poses specific risks to an entity's internal control. Explain Q. Auditor should consider the risks that arise from the use of IT systems Trick: IT Personnel, Data ko, system me daalke, Process karenge 1. Inaccurate processing of data, processing inaccurate data, or both. 2. Unauthorized access to data. 3. Direct data changes (backend changes). 4. Loss of data. 5. Failure to make necessary changes to systems/ programs. 6. Unauthorized change to system/ program. 7. Excessive access / Privileged access (super users). 8. Lack of adequate segregation of duties..						
Impact of IT related Risk:	Q51. IT related risks can have an impact on audit. In what different ways, such risks can have an impact on audit of financial statements? (RTP'24): The above risks have to be mitigated. If not mitigated, such risks, could have an impact on audit in different ways discussed as under: <table><tr><td>Impact on substantive checking</td><td>Inability to address above discussed risks may lead to non-reliance of data obtained from systems. In such a case, all information, data, and reports would have to be tested thoroughly for their completeness and accuracy. It could lead to increased substantive checking i.e. detailed checking.</td></tr><tr><td>Impact on controls</td><td>It can lead to non-reliance on automated controls, system calculations and accounting procedures built into applications. result in additional audit work.</td></tr><tr><td>Impact on reporting</td><td>Due to regulatory requirements in respect of internal financial controls in case of companies, it may lead to modification of auditor's report in some instances.</td></tr></table>	Impact on substantive checking	Inability to address above discussed risks may lead to non-reliance of data obtained from systems . In such a case, all information , data, and reports would have to be tested thoroughly for their completeness and accuracy . It could lead to increased substantive checking i.e. detailed checking .	Impact on controls	It can lead to non-reliance on automated controls , system calculations and accounting procedures built into applications. result in additional audit work .	Impact on reporting	Due to regulatory requirements in respect of internal financial controls in case of companies, it may lead to modification of auditor's report in some instances.
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Impact on reporting	Due to regulatory requirements in respect of internal financial controls in case of companies, it may lead to modification of auditor's report in some instances.						

Types of Controls in an automated environment

General IT controls

[PAAD]

General IT controls are **policies and procedures** that **relate to many applications** and **support the effective functioning of application controls**. General IT-controls that maintain the **integrity of information and security** of data commonly include controls over the following:

- Program change
- Access security
- Application system acquisition, development, and maintenance (Business Applications)
- Data Centre and network operations

Applied **commonly across multiple IT systems, applications, and business processes**. Hence, General IT controls are known as "**pervasive**" controls or "**indirect**" controls.

Poori "Orgn" "Netwrk" se connected h, sabko protect karo → usme jo Op. System hai .. uska data.. uski Apps etc

Control Over	Objective of Control:								
Program Change:	- Ensure that modified systems <u>continue to meet financial reporting objectives</u>. - It includes activities such as <u>change management process</u>, recording, managing, and tracking change requests, making, and testing changes etc.								
Access Security:	Ensure that access to programs and data is authenticated and authorized to meet FR objectives. It includes activities such as: <table border="1"> <tr> <td>1) Security Organization & Management</td><td>2) Network Security</td></tr> <tr> <td>3) Operating System Securit</td><td>4) Data Security</td></tr> <tr> <td>5) Application Security</td><td>6) Physical Security</td></tr> <tr> <td>7) Security Policies & Procedures</td><td>etc</td></tr> </table>	1) S ecurity Organization & Management	2) N etwork Security	3) O perating System Securit	4) D ata Security	5) A pplication Security	6) P hysical Security	7) S ecurity Policies & Procedures	etc
1) S ecurity Organization & Management	2) N etwork Security								
3) O perating System Securit	4) D ata Security								
5) A pplication Security	6) P hysical Security								
7) S ecurity Policies & Procedures	etc								
Application system acquisition, development, maintenance	Ensure that systems are developed, configured and implemented to meet financial reporting objectives . It includes overall <u>management of development activities, project initiation, analysis & design</u> , construction, testing & quality assurance etc.								
Data centre and network operations (MCQ → Production System)	Ensure that production systems are processed to meet financial reporting objectives . These include activities such as <u>overall management of computer operation activities, preparing, scheduling, and executing of batch jobs, monitoring, storage, and retention of backups</u> . Such controls also help in performance monitoring of operating system, database, and networks. Matters such as <u>BCP (Business continuity plan)</u> and <u>DRP (Disaster recovery plan)</u> which deal with recovery from failures.								

Application controls

(MR SEVU)

Include **both automated or manual controls** that **operate at a business process level**. Automated Application controls are **embedded into IT applications** viz., ERPs and help in ensuring the completeness, accuracy and integrity of data in those systems.

Examples of automated applications include **Mandatory data fields**, **Reasonableness checks**, **Sequence number checks**, **Edit checks** and **Validation of input data**, **User limit checks**.

IT-dependent controls

Manual controls that make use of some form of data or information, or report produced from IT systems and applications. In this case, even though the control is performed manually, the design and effectiveness of such controls **depends on the reliability of source data**.

General IT Controls vs. Application Controls

Q52. Discuss relationship between "General IT controls" and "application controls" in an automated environment.

- These two categories of control over IT systems are **interrelated**.
- The relationship between the application controls and the General IT Controls is such that **General IT Controls are needed to support the functioning of application controls**, and **both are needed to ensure**

complete and accurate information processing through IT systems

Q53. Mention Types of Control in automated environment & below are which control →

Hint: (i) General IT Control (ii) Application Control (iii) IT-Dependent Control

Question	Answer: Mention Below Control Type
Reasonableness checks / Sequence Check / Mandatory data field	Application controls
Access Security	General IT controls
Controls over Data center and network operations	General IT controls
Controls over application system acquisition, development, maintenance	General IT controls
Program change controls	General IT controls

Q54. Automated environment General IT controls includes "Access Security" & "Program Change" [RTP'25]

Hint: Refer above notes of General IT Control → "Access Security" & "Program Change"

Testing Methods in an Automated Environment:

Basically 4 Types of audit tests that should be used: [Rap of Control: Inspection Inquiry Observ Tracing]	Q55. Automated environment → 4 types of Test, when and which test to apply (Jan'25)	
	Inquiry	Most efficient audit test but it also gives the least audit evidence. Hence, inquiry should always be used in combination with any one of the other audit testing methods. Inquiry alone is not sufficient.
	Inspection	Generally, applying inquiry in combination with inspection gives the most effective and efficient audit evidence
	Observation	
Some of the more common methods are as follows:	Reperformance	Reperformance is most effective as an audit test and gives the best audit evidence. However, very time consuming and least efficient most of the time
	However, which audit test to use, when and in what combination is a matter of professional judgement and will vary depending on several factors, including risk assessment, control environment, desired level of evidence required, history of errors/misstatements, complexity of business, assertions being addressed etc. The auditor should document the nature of test (or combination of tests) applied along with the judgements in the audit file.	
	a) Obtain an understanding of how automated transaction is processed by doing a walkthrough of one end-to-end transaction using a combination of inquiry, observation and inspection. b) Observe how a user processes transactions under different scenarios. c) Inspect the configuration defined in an application.	
When General IT Control not exist:	When General IT control not exist or Ineffective → auditor should assess the impact of IT risks and complexity of the automated environment in which the business operations take place and plan alternative audit procedures in order to rely on the system-based information.	

Manual Element in Internal Control:

Suitable in:	Q56. In which circumstances where manual elements in I.C may be more suitable? (May'24) Where judgment and discretion are required such as for the following circumstances: - Large, unusual, or non-recurring transactions. - Circumstances where errors are difficult to define, anticipate or predict. - In changing circumstances that require a control response outside the scope of an existing automated control. - In monitoring the effectiveness of automated controls.
Less suitable	It's less reliable than automated elements because they can be more easily bypassed, ignored, or



for the following circumstances:

- overridden and more prone to simple errors and mistakes. Consistency of application of a manual control element cannot therefore be assumed.
- **High volume or recurring transactions**, or in situations where errors that can be anticipated or predicted can be prevented, or detected and corrected, by automated control parameters.
 - Control activities where the specific ways to perform the **control can be adequately designed and automated**.

➤ AUDIT APPROACH IN AN AUTOMATED ENVIRONMENT

Risk Assessment	Understand & Evaluate	Test for operating effectiveness	Reporting
> Identify Significant accounts & disclosure > Qualitative & Quantitative consideration > Relevant financial statement assertions (FSA) > Identify likely source of misstatement > Consider risk arising from use of IT system	> Document understanding of business process using flow chart & narratives > Prepare risk & control matrix (RCM) > Understand design of controls by performing walkthroughs of end-to-end process > Process wide consideration for entity level control & segregation of duties	> Assessing NTE of control testing > Assess reliability of source data, completeness of population > Testing of key reports & spreadsheets > Sample testing > Consider competence & independence of staff/team - Performing control testing	> Evaluate control deficiencies > Significant deficiencies, material weakness > Remedy of control weakness > Internal controls memo (ICM) or Mngt letter > Auditor's Report

➤ DATA ANALYTICS FOR AUDIT:

Data analytics:	The combination of processes, tools and techniques that are used to tap vast amounts of electronic data to obtain meaningful information is called data analytics.
CAAT:	Tools and techniques that auditors use in applying the principles of data analytics are known as Computer Assisted Auditing Techniques or CAATs.
Uses of Data Analytics:	Q57. A company functions in an automated environment. Discuss in what areas data analytics can be useful for auditor of the company. Q. Various functions performed even by the auditor also using Data Analytics tools & techniques in audit <i>Trick: "Complete population" me se "samples" select karo kuch "JV's" ke ... > fir usko "reperform" / "recompute" karo > koi bhi "Fraud" mila .. to maan lo "control deficient" hai ...</i> Can be used in testing of electronic records and data residing in IT systems using spreadsheets and specialized audit tools viz., <u>IDEA and ACL</u> to perform the following: 1) Check completeness of data and population that is used in either test of controls or substantive audit tests. 2) Selection of audit samples - random sampling, systematic sampling 3) Analysis of journal entries



- 4) **Re-computation** of balances - reconstruction of trial balance from transaction data.
- 5) **Reperformance** of mathematical calculations - depreciation, bank interest calculation
- 6) **Fraud** investigation.
- 7) Evaluating impact of **control deficiencies**.

Q58. What are the **tools and techniques** used by auditors in applying the principles of **Data Analytics** and in which **areas data analytics can be used** by auditors? (RTP May'24)

Hint: refer above Whole table of Data analytics

➤ **DIGITAL AUDIT:**

Entities are becoming Digital:	Entities are embracing digitization as part of their operations to keep pace with changing times. New technologies are helping companies revamp their operations and rethink the way business is conducted. Companies are restructuring their business models driven by technology. Automation is key to digitization.
Auditors also need Digital technology: (samjo, kidhar Jayda Risk hai so more attention &)	Q59. Explain the use of digital technology in the conduct of an audit (Sept'24) In such a business environment, use of digital technology is being made by auditors right from planning to expression of final opinion. - Auditors are making use of artificial intelligence, data analytics and other latest technologies to help understand business processes in a better way. - Digital audit is helping auditors to better identify risks making use of technology. - By using such tools, auditors can conduct audit in a better way and devote more attention to areas requiring greater focus.

➤ **Internal Financial Controls (IFC) as per Regulatory Requirements & IFC-FR:**

Meaning: [F-FALO]	Q60. Mr. T, one of the directors of Over Careful Limited was of the view that IFC have nothing to do with accounting records of a company. Comment on the views of Mr. T. [OLD] As per Sec 34 of Co. act 2013, It refers to the policies and procedures put in place by companies for ensuring: - Reliability of Financial reporting - Prevention and detection of Frauds - Compliance with applicable Laws and regulations - Effectiveness and efficiency of Operations - Safeguarding of Assets
In Co. Act 2013, "Internal Financial Controls" is used at some places, casting responsibilities as under:	
Sec 134 (5)(e)	For listed Companies, the Directors' responsibility statement shall state that Directors laid down IFC to be followed by company and that are adequate & were operating effectively.
Sec 143 (3)(i) [Direct Qn on applicability]	Auditor's Report: The auditor's report shall state whether the company has adequate Internal financial controls system in place and also on the operating effectiveness of such controls. <u>This requirement shall NOT apply to a PRIVATE company which :</u> - is One Person Company or a small company: OR, Turnover < ₹ 50 crore as per latest audited FS; AND Aggregate borrowings from banks or financial institutions or any body corporate at any point of time during the financial Year for < ₹ 25 crore.



Sec 177 (4) (vii)	Every Audit Committee shall act in accordance with the terms of reference specified in writing by the Board which shall, inter alia, include - evaluation of IFC and risk management systems .
Sec 149(8) (S-IV)	The role & functions of independent directors include that they shall satisfy themselves on the integrity of financial information and that financial controls and the systems of risk mngt are robust and defensible.

Q61. Independent director of Listed company want to know the responsibilities as casted under Companies Act, 2013 with regards to **Internal Financial Control** for (1) **Directors** (2) **Independent directors** (3) **Audit committee** as per Sec 134(5)(e), 149(8) & 177(4) (vii) respectively of the Companies Act, 2013. (May'24)

Hint: **Internal financial controls as per regulatory requirements:** The Companies Act, 2013 has placed a greater emphasis on the effective implementation and reporting on the internal controls for a company. (**Refer/Mention Above Section 134(5)(e), 149(8), 177(4)(vii)**)

➤ Distinction between Internal Financial Control and Internal Control over financial reporting:

Difference Between IFC & IFC-FR	IFC	IFC-FR
	refers to the policies and procedures put in place by companies for ensuring reliability of financial reporting , effectiveness and efficiency of operations , compliance with applicable laws and regulations, safeguarding of assets and prevention and detection of frauds .	Where auditors are required to express an opinion on the effectiveness of an entity's internal controls over financial reporting, such opinion is in addition to and distinct from the opinion expressed by the auditor on the financial statements.
	Wider Term	Narrow Term

Point to Note: The **directors and management** have **primary responsibility of implementing** and maintaining an effective I.C & **auditors are expected to evaluate**, and report on the design and operating effectiveness of IFC.

➤ Assess & Report Audit Findings of IT & IC:

Findings	at Conclusion of Audit → certain findings or exceptions in IT environment and IT controls → need to be assessed and reported to relevant stakeholders including management, TCWG
Points to consider: (Qn)	Q62. Auditor found certain Finding/excepting in IT, what points shall the auditor consider in assessing and reporting of audit findings in IT Environment / IT control (May'24) Trick: Weakness hai ? → mngt & TCWG ko hi bata do ... orr unko bata do iska audit pe accha khaasa impact hoga 1) Are there any weaknesses in IT controls? 2) What is the impact of these weaknesses on overall audit? 3) Report deficiencies to management - Internal controls memo or Management letter. 4) Communicate in writing any significant deficiencies to TCWG.
Deficiency in IC:	• A deficiency in I.C exists if a control is designed, implemented, or operated in such a way that it is unable to prevent, or detect and correct, misstatements in the FS on a timely basis; or the control is missing. • Evaluation and assessment of audit findings and control deficiencies involves applying professional judgement that include considerations for quantitative and qualitative measures. Each finding should be looked at individually and in the aggregate by combining with other findings/deficiencies. • Assess each finding or exception to determine impact on the audit and evaluate if the

exception results in a deficiency in internal control.

SA - 330 "The Auditor's Responses to Assessed Risks"

Types: Audit Procedure	1. Risk Assessment Procedure (RAP):	To Assess the Risk (SA 315)	
	2. Further Audit Procedure (FAP): <i>i.e., Type of response</i>	To Respond the Risk (SA 330):	
		a) Compliance Procedure	- Test of Control (TOC): [Vouching: Test of transaction] [Verification: Test of balance]
		b) Substantive Procedure	- Test of Detail (TOD) - Analytical procedure (SAP) [SA-520]
Responses to RMM	At Financial Statement level: [Not in SM]	1. Emphasizing to maintain Professional Skepticism. 2. Assigning more experienced staff 3. Providing more supervision. 4. Incorporating additional elements of unpredictability in the selection of Further audit procedures. 5. Making changes to NTE of audit procedures.	
	At Assertion level: [FAP includes: 1) TOC 2) Substantive procedure]	Auditor shall design and perform FAP whose NTE are based on and are responsive to the assessed RMM at the assertion level. In designing FAP to be performed, the auditor shall: (a) Consider the reasons for the assessment given to the ROMM at the assertion level for each class of transactions, account balance, and disclosure, including: 1. The likelihood of MMS due to the particular characteristics of the relevant C/A/DS (Inherent Risk); and 2. Whether the risk assessment takes into account the relevant Controls (i.e., Control Risk), thereby requiring the auditor to obtain audit evidence to determine whether the controls are operating effectively; and (i.e., the auditor intends to rely on the operating effectiveness of controls in determining the NTE of substantive procedures); and (b) Obtain more persuasive audit evidence the higher the auditor's assessment of risk.	

➤ Test of Control (Compliance Procedure)

Q63. Why **Test of Controls** are performed? Also **explain what it includes** [Refer Meaning & TOC may include]

Meaning:	TOC are performed to obtain audit evidence about the operating effectiveness of the: a) Design of accounting & internal control System i.e., Whether they are suitably designed to prevent or detect & correct MMS b) Operation of IC throughout the period
3 Yrs	Auditor can test IC on a selective basis, but plan testing in such manner that all the important areas are covered in Period of 3 Yrs .
TOC may include:	a) Inspection of documents supporting transactions to gain audit evidence that IC have operated properly, for example, verifying that a transaction has been authorised



[RAP: Inquiry, Inspection & Observ, Trac] [automated: Inquiry, Inspection & Observ, Repr]	b) Inquiries and observation of, IC which leave no audit trail, for example, determining who actually performs each function and not merely who is supposed to perform it. c) Re-performance involves the auditor's independent execution of procedures or controls that were originally performed as part of the entity's internal control, for example, reconciliation of bank accounts, to ensure they were correctly performed by the entity. d) Testing of internal control operating on specific computerized applications or over the overall information technology function, for example, access or program change controls
Perform TOC When: (Qn) (add few lines)	1. Auditor's assessment of ROMM includes expectation that controls are operating effectively. (i.e., Auditor intend to place rely on control to determine NTE of substantive procedure) 2. Substantive procedures alone cannot provide SAAE When Relying on I.C → Type & Level of Audit Evidence + Level of Assurance needed for Effectiveness of Control: (Qn) • In TOC → obtain more persuasive audit evidence as greater the <u>reliance on effectiveness</u> of control. • A higher level of assurance may be sought about <u>operating effectiveness of controls</u> → in particular, <u>where it is NOT possible to obtain SAAE only from substantive procedures</u>.
Nature & Extent of TOC [Autom: Inqu + inspection : most Effcv & effcint] (MCQ: "Observation" is better more reliable than "Inquiry")	In designing and performing test of controls, the auditor shall: 1) Perform Audit procedure in Combination with Inquiry to Obtain audit evidences about the operating effectiveness of the controls, including: How the controls were applied at relevant times during the period under audit. Consistency of application By whom & by what means they applied 2) Whether above control is dependent on other control i.e., Indirect control, If yes, Whether these also need to be tested [Inquiry alone is not sufficient to test the operating effectiveness of controls: Inquiry combined with inspection or reperformance may provide more assurance than inquiry and observation]
Timing of TOC	Perform TOC for a particular time Or throughout period (For which auditor's need to rely), Eg.: • For Particular Time when: controls over entity's physical inventory counting at the period end. • Control over a period: audit evidence → control operated effectively at relevant times during period (Monitoring of control)
Using Evidence of previous audit (TOC): (Re-test Control in Concurrent audit) [Trick: P-	Author's Gyann !! Using Audit Evidence obtained during previous audits {i.e., Yr. 2018 (PY) Evidence regarding TOC using in Yr. 2019 (CY)} - If there is any change in control in CY then auditor shall again perform TOC in CY - If there is no such change, auditor shall do TOC in such way that all controls are tested atleast once in a 3 yr. Q64. Discuss the various points which auditor needs to consider in determining whether it is appropriate to <u>use audit evidence about operating effectiveness of controls obtained in previous audit</u>, and if so, the length of the time period that may elapse before retesting. Answer: <u>In determining whether it is appropriate to use audit evidence about the operating effectiveness of controls obtained in previous audits</u>, and, if so, the <u>length of the time period</u> that may elapse before <u>retesting a control</u>, the <u>auditor shall consider the following</u>: a) The effectiveness of the control and its application by the entity, including the nature and



MC-MC]	extent of deviations in the application of the control noted in previous audits, and whether there have been personnel changes that significantly affect the application of the control b) The risks arising from characteristics of control, including whether it is manual or automated. c) The effectiveness of other elements of internal control, including the control environment, the entity's monitoring of controls, and the entity's risk assessment process d) Whether the lack of a change in a particular control poses a risk due to changing circumstances e) The effectiveness of general IT-controls f) The ROMM and the extent of reliance on the control If auditor plans to use evidence of a previous audit about effectiveness of controls, auditor shall consider whether significant changes in those controls occurred subsequent to previous audit.
Interim Period TOC Evidence:	<u>Using Audit Evidence obtained in Interim Period:</u> 1. Obtain audit Evidence for significant changes subsequent to Interim Period. 2. Determine the additional Evidence to be obtain for remaining period.

MCQ: CA want to do 100% testing (TOD & TOC of Sales) → 100% suits for TOD (sales), but controls typically use sampling

Q65. Auditor want to ensure that company has **correctly reconcile the Bank statement & I.C is operating**. Which TOC is this ? what are other procedure for TOC ?

Hint: It's "REPERFORMANCE" Refer Above TOC "Meaning" & "TOC May include"

Q66. TOC → when such tests are to be designed ? if greater rely on Control, state its likely effect on audit evidence to be obtained from TOC? Why a higher level of assurance may be sought by an auditor about operating effectiveness of controls ? (MTP'Jan25)

Hint: refer above notes → "Perform TOC when" & (i.e., *More Persuasive Evidence* → A higher level of assurance may be sought about operating effectiveness of controls when it's not possible or practicable to obtain SAAE only from substantive procedures.)

Substantive Procedure:

Q67. Discuss with reference to SA 330 the **substantive procedures** to be performed to assess the ROMM.

Q. Irrespective of the assessed ROMM, the auditor shall design and perform substantive procedures for each material class of transactions, account balance, and disclosure. Analyse and explain.

Means:	Substantive procedure is an audit procedure designed to detect MMS at the assertion level . They comprise tests of details and substantive analytical procedures			
Mandatory:	Irrespective of the assessed ROMM , the auditor shall design and perform substantive procedures for each material C,A,DS (At Assertion Level). <u>This requirement reflects the facts that (Why Substantive is mandatory ?):</u> a) auditor's assessment of risk / Risk Assessment is judgmental, may not identify all ROMM; & b) there are inherent limitations to internal control, including management override.			
What to perform: (Nature & extent of substantive procedure)	Depending on the circumstances, the auditor may determine that: a) Performing only substantive analytical procedures will be sufficient to reduce audit risk to an acceptably low level. For example, where the auditor's assessment of risk is supported by audit evidence from tests of controls. b) Only tests of details are appropriate. c) A combination of substantive analytical procedures and tests of details are most responsive to the assessed risks. [Most Effective] <table><tr><th>Note</th></tr><tr><td>1) Substantive procedures may need to increase → when TOC results are unsatisfactory.</td></tr><tr><td>2) In Designing TOD → extent of sample size are considered → however other matters are also relevant → Like whether is it more effective to use other selective means of testing</td></tr></table>	Note	1) Substantive procedures may need to increase → when TOC results are unsatisfactory .	2) In Designing TOD → extent of sample size are considered → however other matters are also relevant → Like whether is it more effective to use other selective means of testing
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1) Substantive procedures may need to increase → when TOC results are unsatisfactory .				
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2 Types:	Substantive procedure comprises of: <table border="1"> <tr> <td data-bbox="303 163 472 680">Test of Details:</td><td data-bbox="482 163 1518 680"> Tests of details are <u>further classified into</u> tests of transactions i.e., • Vouching & • Tests of balances i.e., verification. <u>For example:</u> • Vouching: Purchase transaction → Verify by examining → purchase invoice, GRN, inward gate entry register. It helps in establishing the authenticity of transactions recorded in books of accounts. • Verification: Tests of balances consist of verification of assets as well as liabilities. → Fixed asset, for example, would help in establishing existence of that asset as on date of B/S. i.e., reviewing entity's plan for performing physical verification of fixed assets and obtaining evidence for performance of physical verification of F.A by mngt. Tests of details related to the <i>existence, occurrence, completeness</i> etc. </td></tr> <tr> <td data-bbox="303 688 472 1121">Substantive Analytical Procedure:</td><td data-bbox="482 688 1518 1121"> • Evaluations of financial information through analysis of plausible relationships among both financial and non-financial data → if required then doing investigation identified fluctuations or relationships that are inconsistent with other relevant information by significant amt. • Widely recognized ratios can be use in SAP. • Substantive analytical procedures are generally more applicable to large volumes of transactions that tend to be predictable over time. • Analytical procedures involving, for example, the prediction of total rental income → taking the rental rates * the number of apartments and vacancy rates into consideration, can provide persuasive evidence and may eliminate the need for further verification by means of tests of details • SA 520, Deals with "Analytical Procedures" </td></tr> </table>	Test of Details:	Tests of details are <u>further classified into</u> tests of transactions i.e., • Vouching & • Tests of balances i.e., verification. <u>For example:</u> • Vouching: Purchase transaction → Verify by examining → purchase invoice, GRN, inward gate entry register. It helps in establishing the authenticity of transactions recorded in books of accounts. • Verification: Tests of balances consist of verification of assets as well as liabilities. → Fixed asset, for example, would help in establishing existence of that asset as on date of B/S. i.e., reviewing entity's plan for performing physical verification of fixed assets and obtaining evidence for performance of physical verification of F.A by mngt. Tests of details related to the <i>existence, occurrence, completeness</i> etc.	Substantive Analytical Procedure:	• Evaluations of financial information through analysis of plausible relationships among both financial and non-financial data → if required then doing investigation identified fluctuations or relationships that are inconsistent with other relevant information by significant amt. • Widely recognized ratios can be use in SAP. • Substantive analytical procedures are generally more applicable to large volumes of transactions that tend to be predictable over time. • Analytical procedures involving, for example, the prediction of total rental income → taking the rental rates * the number of apartments and vacancy rates into consideration, can provide persuasive evidence and may eliminate the need for further verification by means of tests of details • SA 520, Deals with "Analytical Procedures"
Test of Details:	Tests of details are <u>further classified into</u> tests of transactions i.e., • Vouching & • Tests of balances i.e., verification. <u>For example:</u> • Vouching: Purchase transaction → Verify by examining → purchase invoice, GRN, inward gate entry register. It helps in establishing the authenticity of transactions recorded in books of accounts. • Verification: Tests of balances consist of verification of assets as well as liabilities. → Fixed asset, for example, would help in establishing existence of that asset as on date of B/S. i.e., reviewing entity's plan for performing physical verification of fixed assets and obtaining evidence for performance of physical verification of F.A by mngt. Tests of details related to the <i>existence, occurrence, completeness</i> etc.				
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TOC & Substantive:	Because the assessment of the risk of material misstatement takes account of internal control, the extent of substantive procedures may need to be increased when the results from tests of controls are unsatisfactory.				

Q68. Discuss SA 330 **substantive procedures** to be performed to assess the **risk of material misstatement**

Hint: Refer Above "Means of Substantive Procedure" & "2 Types i.e., TOD & SAP"

- **Evaluating the Operating Effectiveness of Control &**
- **Specific inquiries by auditor when deviations from controls are detected**

Q69. XYZ & Associates, Chartered Accountants, **while evaluating the operating effectiveness of internal controls, detects deviation from controls**. In such a situation, **state the specific inquiries** to be made by an auditor to understand these matters and their potential consequences.

Answer:

Evaluating the Operating Effectiveness of Controls:

Result of Substantive Procedure:	Effect on Auditor Assessment about Control
The auditor shall evaluate whether misstatements that have been detected by substantive procedures →	Indicate that controls are not operating effectively.
The absence of misstatements detected by substantive procedures →	However, does not provide audit evidence that controls related to the assertion being tested are effective .



When deviations from controls upon which the auditor intends to rely are detected, the auditor shall make **specific inquiries** to understand these matters and their potential consequences, and **shall determine whether:**

- Tests of controls** that have been performed provide an appropriate basis for reliance on the controls;
- Additional tests of controls** are necessary; or
- The potential **risks of misstatement need to be addressed using substantive procedures**. A material misstatement detected by the auditor's procedures is a strong indicator of the existence of a significant deficiency in internal control.

➤ **Testing Internal Control [Additional Topics Given in ICAI SM]**

Means:	For IC, auditor needs to examine whether and how far the same is actually in operation
3 Yrs	Auditor can test IC on a selective basis, But plan testing in such manner that all the important areas are covered in Period of 3 Yrs .
TOC may include:	Inspection of documents supporting transactions to gain audit evidence that IC have operated properly, for example, verifying that a transaction has been authorised Inquiries and observation of, IC which leave no audit trail, for example, determining who actually performs each function and not merely who is supposed to perform it. Re-performance involves the auditor's independent execution of procedures or controls that were originally performed as part of the entity's internal control, for example, reconciliation of bank accounts, to ensure they were correctly performed by the entity. Testing of internal control operating on specific computerized applications or over the overall information technology function, for example, access or program change controls

Q70. Based on the results of the tests of control, the auditor should **evaluate whether the internal controls** are designed and operating as contemplated in the preliminary assessment of control risk. Explain

Answer:

How? Whom? Consistency?	While obtaining audit evidence about the effective operation of IC, the auditor considers: How they were applied, - by whom they were applied. - the consistency with which they were applied during the period
Deviation Detected in TOC:	Deviations from prescribed controls may be caused by such factors as Changes in key personnel - Significant seasonal fluctuations in volume of transactions and Human error. When deviations are detected, the auditor makes specific inquiries regarding these matters: - Timing of staff changes in key internal control functions. - The auditor then ensures that the tests of control appropriately cover such a period of change or fluctuation.
Need to Revise Control Risk in case of Deviation?	Based on TOC result: Assess whether IC Designed as per Preliminary Assessment of Control Risk? → Based on the results of the TOC the auditor should evaluate whether the IC are designed and operating as contemplated in the preliminary assessment of control risk. Do Control Risk need to Revise? → evaluation of deviations may result in the auditor concluding that the assessed level of control risk needs to be revised. In such cases, the auditor would modify the NTE of planned substantive procedures. Based on Substantive Procedure Result: Assessment of Control Risk Confirmed? → Before the conclusion of the audit, based on results of substantive procedures and other audit evidence obtained by the auditor, the auditor should consider whether the assessment of control risk is



confirmed.

Deviation in Internal Control? → In case of deviations from the prescribed accounting and internal control systems, the auditor would make specific inquiries to consider their implications. Where, on the basis of such inquiries, the auditor concludes that the deviations are such that the preliminary assessment of control risk is not supported, he would amend the same unless the audit evidence obtained from other tests of control supports that assessment.

Revise Control Risk → Where the auditor concludes that the assessed level of control risk needs to be revised, he would modify the NTE of his planned substantive procedures.

Q71. Matters the auditor may consider in determining the extent of tests of controls. [RTP & MTP'25]

Trick: FLERT karega auditor TOC ke saath

- 1) **Frequency** of the performance of the control by the entity during the period.
(Stock count is weekly Vs Fixed asset count is half yearly)
- 2) **Length** of time during the audit period that the auditor is relying on the operating effectiveness of the control. (More time more checking)
- 3) **Expected rate of deviation from a control**. (If expected rate is very close to tolerable rate of deviation then we have to check more of that control, to extra sure)
- 4) **Relevance and reliability** of the audit evidence to be obtained regarding the operating effectiveness of the control at the assertion level. (Double payment is big risk so software feature to detect same number of PO is relevant, so check more)
- 5) The **extent to which audit evidence is obtained from Tests of other controls** related to the assertion. (If other controls on that assertion are not effective do more checking here)

SA 320- Materiality in Planning & Performing an Audit

Author's Crisp:	Error in FS of Rs.500 is immaterial so auditor should not focus on it (When T.O of entity is Rs. 5 lacs), But If Error is of Rs.2 lacs, then it's material → So Materiality is based on professional Judgement. [Materiality is not always a matter of relative size. <u>For example</u>, a small amount lost by fraudulent practices of certain employees can indicate a serious flaw in the enterprise's internal control system requiring immediate attention → <u>Violation of Law</u> even of a very small Amt will be considered as material]
Scope & Objective:	Auditor's responsibility to apply the concept of materiality in <u>planning and performing</u> audit. <u>SA 450</u> explains how materiality is applied in evaluating the <u>effect of identified misstatements</u> on the audit and of uncorrected misstatements, if any, on the FS.
About Audit Materiality	If Materiality is specified in FRF or Law, then auditor shall consider that irrespective of below mentioned points, otherwise consider below 3 points: Material items are relatively important items i.e., the knowledge of which would influence the decisions of the users of financial statements. 1. Misstatement whether individually or aggregate could reasonably / Item is material if individually or in the aggregate it expects to influence economic decision of users in FS 2. Judgments about materiality are made in the light of surrounding circumstances, and are affected by the size or nature of a misstatement, or a combination of both; and 3. Judgments about matters that are material are based on a consideration of the common



	financial information needs of users as a group (specific individual users, whose needs may vary widely, is not considered.)
Other Points Reg. Materiality:	1. Auditor considers materiality at overall FS level and assertion level. 2. Determination of materiality is a matter of professional judgments. (Judgement about materiality are affected by Size or nature of misstatement) 3. Materiality could be either quantitative or qualitative. 4. Sometimes statutory provisions also contain element of materiality (i.e., S-III). 5. Materiality is not always a matter of relative size. For example, a small amount lost by fraudulent practices of certain employees can indicate a serious flaw in the enterprise's internal control system, require immediate action. 6. The materiality determined when planning the audit does not necessarily establish an amount below which uncorrected misstatements, individually or in aggregate, will always be evaluated as immaterial. The circumstances related to some misstatements may cause the auditor to evaluate them as material even if they are below materiality.
Determine materiality For:	• FS as a Whole • For particular C/A/DS (When auditor consider that Particular CADS misstatement can influence economic decision for amt lower than materiality)
Quantitative limits:	In certain cases, quantitative limits of materiality are specified: a) As per S-III, Company should disclose by way of notes additional information: Any item of income or expenditure which exceeds (Whichever is higher) • 1% of the revenue from operations or • Rs. 1,00,000. b) Shares in the company held by each S.H holding more than 5%, Specify no. of Share
Auditor Shall Assume that User:	Q72. Since materiality is a matter of professional judgment and is affected by auditor's perception of financial information needs of users of FS, he is reasonably making certain assumptions about users of FS. Which reasonable matters ? (MTP'24) Auditor's perception of financial info. needs of users of the FS, auditor to assume that users: 1. Have a reasonable knowledge of business and economic activities & Willingness to study FS 2. Understand that FS are prepared & audited to levels of materiality 3. Recognize the uncertainties inherent in of Amt based on estimates, judgment & consideration of future events. 4. Make reasonable economic decisions on basis of info. in the FS.
Materiality Applied at all stages:	Q73. team members of auditors of Highly Capable Limited was of the view that Materiality and Audit Risk are only considered at planning stage of an audit. Comment as an auditor The concept of materiality is applied by the auditor: 1. planning and performing the audit 2. evaluating the effect of misstatements on the audit 3. forming the opinion in the auditor's report
In Planning it provide basis for:	In planning the audit, the auditor <u>makes judgments about</u> → <u>the size of misstatements</u> that will be <u>considered material</u>. → <u>These judgments provide a basis for:</u> a) Determining the NTE of RAP. b) Identifying and assessing the ROMM; and c) Determining the NTE of FAP.
Audit Risk & Materiality:	There is an INVERSE RELATIONSHIP between degree of <u>Audit Risk and Materiality</u>. Q74. Consider materiality and audit risk throughout the audit (Old) Materiality and audit risk are considered throughout the audit, (Planning as well as



	performing the Audit in particular), when: - Identifying and assessing the ROMM - Determining the NTE of FAP Evaluating the effect of uncorrected misstatements, if any, on the financial statements and in forming the opinion in the auditor's report
Performance Materiality:	Practically, it is difficult for auditors to design tests to identify individual material misstatements. It's likely that misstatement are material in aggregate. It takes us to the concept of Performance materiality. The amount set by auditor at less than materiality for F.S as a whole. - To reduce to an appropriately low level - The probability that the aggregate of the uncorrected & undetected misstatement - Exceeds materiality for F. S. as a whole [Generally, performance materiality is set for some C/AB/D, on which misstatement can influence the economic decision of user even below than materiality]
Determine materiality & Performance Materiality:	When establishing the overall audit strategy → Determine materiality for FS as a whole If any circumstances → one or more particular C/A/DS for which misstatements of lesser amounts than the materiality for the FS as a whole could influence the economic decisions of users taken on the basis of FS → determine the materiality level to be applied to those particular C/A/DS.
Revision of Materiality:	Q75. Materiality for the FS as a whole may need to be revised as a result of a change in circumstances that occurred during the audit. Explain with the help of example Revision in Materiality level as the Audit Progresses: Materiality for FS as a whole or for Level of CADS may need to revise as a result of: - On becoming aware of new information, or - Significant changes in circumstances, or - Changes in auditor's understanding of entity & its operation If auditor concludes that Lower materiality than initially determined → Conclude whether → need to Revise Performance Materiality - Whether NTE of FAP remain appropriate Example: If during audit it appears → actual financial results likely to be substantially different from the anticipated period end financial results that were used initially to determine materiality for the FS as a whole, the auditor revises that materiality.
Benchmark [A-LOVE]  – Student Specific Code [Modi ji] [Adwani]	%age is often applied to chosen benchmark as a starting point for materiality of FS as whole. Q76. Discuss stating the factors that may affect the identification of an appropriate benchmark. With Appropriate Examples. - Whether there are items on which the Attention of the users of the particular entity's financial statements tends to be focused. (For eg., for the purpose of evaluating financial performance users may tend to focus on profit, revenue or net assets); - The nature of the entity, where the entity is at in its Life cycle, and the industry and economic environment in which the entity operates. (Eg., If an entity is financed solely by debt rather than equity, users may put more emphasis on assets, and claims on them, than on the entity's earnings) - The entity's Ownership structure and the way it is financed (for example, if an entity is financed solely by debt rather than equity, users may put more emphasis on assets, and



[Amit Shah] [Smriti Rani] [Arul Jaitley]	claims on them, than on the entity's earnings); and (iv) The relative Volatility of the benchmark. (v) The Elements of financial statements (Eg. assets, liabilities, equity, revenue, expenses); Examples of Benchmark : i.e., 20% of PBT • Profit before tax • total revenue • gross profit and total expenses, • total equity or net asset value • Profit before tax from continuing operations is often used for profit-oriented entities. (MCQ)												
Example of Benchmark based on Entity (A.B)	<table border="1"> <thead> <tr> <th>Types of Entity</th><th>BenchMark</th></tr> </thead> <tbody> <tr> <td>Profit Oriented Entities</td><td>PBT from continuing operation</td></tr> <tr> <td>If PBT/PAT is Volatile</td><td>Gross Profit or Revenue</td></tr> <tr> <td>Loss making companies</td><td>Revenue or Gross profit</td></tr> <tr> <td>Public utility program/Project</td><td>Total Cost or Net Cost (Expense - Receipt)</td></tr> <tr> <td>Custody of assets</td><td>Assets</td></tr> </tbody> </table>	Types of Entity	BenchMark	Profit Oriented Entities	PBT from continuing operation	If PBT/PAT is Volatile	Gross Profit or Revenue	Loss making companies	Revenue or Gross profit	Public utility program/Project	Total Cost or Net Cost (Expense - Receipt)	Custody of assets	Assets
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Lower Materiality for particular C/A/DS: [LDA]	Factors indicate existence of one or more particular C/A/DS for which misstatements of lesser amounts than materiality for the FS as a whole can influence the economic decisions of users include the following: 1) Whether Law, regulations or the applicable FRF affect users' expectations regarding the measurement or disclosure of certain items [Eg. RPT & remuneration of mngt.] 2) The key Disclosures i.r.t industry in which the entity operates [Eg. Research and development costs for a pharmaceutical company] 3) Whether Attention is focused on a particular aspect of business that is separately disclosed in the financial statements [Eg. A newly acquired business]												
Documenting Materiality:	Q77. Is materiality required to be documented by the auditor? What factors have to be considered this regard? 1) Materiality for the FS as a whole; 2) If applicable, the materiality level or levels transactions, account balances or disclosures 3) Performance materiality 4) Any revision of (a)-(c) as the audit progressed												

Q78. The company has been sanctioned a term loan of Rs. 50 lacs from a bank. The FS of the company do not disclose nature of security against which loan has been taken. **S-III of Co. Act, 2013** requires disclosure in this respect. Discuss, **whether, non-disclosure of nature of security is material for auditor**

Answer: → If there is any **statutory requirement** of disclosure, it is to be considered **material**. Schedule III mandates disclosure of nature of security in relation to loan. The **amount involved is irrelevant**.



THANK YOU